Note 17 — Sales-Type Leases and Financing Receivables

In April 2017, in conjunction with the implementation of a new "go-to-market" business model for the Company's U.S. dispensing business within the Medication Management Solutions ("MMS") unit of the Medical segment, the Company amended the terms of certain customer leases for dispensing equipment within the MMS unit. The modification provided customers the ability to reduce its dispensing asset base via a return provision, resulting in a more flexible lease term. Prior to the modification, these leases were accounted for as sales-type leases in accordance with Accounting Standards Codification Topic 840, "Leases", as the non-cancellable lease term of 5 years exceeded 75% of the equipment's estimated useful life and the present value of the minimum lease payments exceeded 90% of the equipment's fair value. As a result of the lease modification, the Company was required to reassess the classification of the leases due to the amended lease term. Accordingly, most amended lease contracts were classified as operating leases beginning in April 2017. The change in lease classification resulted in a pre-tax charge to earnings in fiscal year 2017 of $748 million, which was recorded in *Other operating expense, net.* Beginning April 1, 2017, revenue associated with these modified contracts has been recognized on a straight-line basis over the remaining lease term, along with depreciation on the reinstated leased assets.

The Company's consolidated financial results in 2018 and 2017 were not materially impacted by the financing receivables remaining subsequent to the lease modification discussed above.

Note 18 — Supplemental Financial Information

Other Income (Expense), Net

(Millions of dollars)	2018	2017	2016
Losses on debt extinguishment (a)	$ (16)	$ (73)	$ —
Vyaire Medical-related amounts (b)	288	(3)	—
Other equity investment income	8	3	8
Losses on undesignated foreign exchange derivatives, net	(14)	(11)	(3)
Royalty income (c)	51	—	—
Gains on previously held investments (d)	—	24	—
Other	—	3	7
Other income (expense), net	$ 318	$ (57)	$ 11

(a) Represents losses recognized upon our repurchase and extinguishment of certain senior notes, as further discussed in Note 15.

(b) Represents amounts related to the Company's 2017 divestiture of a controlling interest in its former Respiratory Solutions business and the subsequent sale in 2018 of the remaining ownership interest. The amount in 2018 includes the gain on the sale of the remaining non-controlling interest and transition services agreement income, net of the Company's share of equity investee results. The amount in 2017 represents the Company's share of equity investee results, net of transition services agreement income. Additional disclosures regarding these divestiture transactions are provided in Note 10 in the Notes to Consolidated Financial Statements.

(c) Represents the royalty income stream acquired in the Bard transaction, net of non-cash purchase accounting amortization. The royalty income stream was previously reported by Bard as revenues.

(d) Represents an acquisition-date accounting gain related to a previously-held equity method investment in an entity the Company acquired.